

previously hindered its growth trajectory.

The internal competition was primarily with another Tata Sons subsidiary, Tata Housing Development Company (THDC). “In the past, with separate top managements of TRIL and THDC, instances of bidding for the same project by the two companies have been common. There are instances when both lost out,” explains a former executive who spoke on condition of anonymity. According to the former executive, once the two entities were brought under the same management, their strategies became more streamlined. The change in top management effectively came in 2018, when Dutt—who is a real estate industry veteran with experience of heading commercial real estate services firm Cushman & Wakefield’s India operations and diversified real estate group CapitaLand—joined the conglomerate to head both the entities as MD & CEO. Now, THDC is a subsidiary of TRIL.

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THEN THE PANDEMIC struck, and TRIL saw its top line decline in FY20 and FY21. In the next two years, however, it registered a strong comeback. With the pandemic’s impact gradually diminishing, FY22 saw a surge, with its top line soaring by 46% year-on-year (YoY) to ₹1,818 crore from ₹1,242 crore. And in FY23, the number skyrocketed by 140% YoY to ₹4,361 crore, demonstrating a robust resurgence.

Dutt says that although the pandemic did play its part, the complete overhaul that TRIL underwent was also why its finances were impacted. And once the process was completed, the numbers quickly jumped.

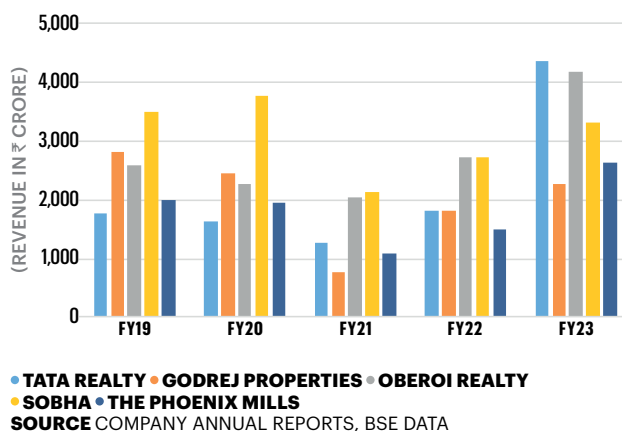
“We were redesigning our products and realigning our business [model] and teams. During the time, we also bought out several of our project partners. Multiple projects were under construction. For instance, since 2019 we have completed 21 projects,” he explains.

A closer look at the company’s bottom line makes the story of its transformation clearer. From grappling with a net loss of ₹303 crore in FY21, the company orchestrated a remarkable turnaround, reporting a net profit of ₹82 crore in FY22. However, the upturn didn’t halt there. In the subsequent fiscal, FY23, the figure

ON THE RISE

SHOOTING UP

▶ Tata Realty’s revenue fluctuated over the years but saw a significant increase in FY23, indicating potential growth drivers and strategic initiatives



surged to ₹2,414 crore. Apart from turning its operations more efficient after the overhaul, the completion time for its projects has also reduced significantly as the company became “more agile and lean”, which helped it turn profitable. Also, the consolidation of TRIL and THDC under one unified management proved to be a strategic success, yielding tangible dividends and amplifying synergies across the board.

According to Akshaya Kumar, Founder & CEO of real estate advisory firm Park Lane Property Advisors, after TRIL was able to consolidate its operations, the company had much to gain. “Tata Realty is currently being run by a smart market-savvy leader and, with the market moving towards branded developers, the company has much to gain. Its performance in FY23 is already indicating a strong momentum,” he says.

Coming back to TRIL’s present, Dutt says new projects would be launched and executed over the next three years. And while it would undoubtedly boost the company’s fortunes in the near term, these projects may also alter the company’s exposure in India. While the Delhi-NCR and East mar-